

TRADING PARTICIPANT RULES APPLICABLE TO STOCKBROKERS AND STOCK DEALERS

EFFECTIVE FROM 3RD APRIL 2023

INCORPORATING AMENDMENTS UP TO 28th July 2025



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DEFINITIONS AND INTERPRETATION DEFINITIONS

When used herein, the following expressions shall, unless the context otherwise requires, bear the following meanings:

Application Systems	: shall mean the Back Office System, Order Management System and any other third-party application platforms utilized by a Trading Participant.
ATS	: means the Automated Trading System of the CSE.
Back Office System (BOS)	: shall mean a computer application integrated with the Order Management System to facilitate the back office operations of a Trading Participant, including accounting and general ledger maintenance, client trading information, client profile management, client portfolio management, management which conforms to the Gateway and Application Program Interface (API) Specifications issued by the CSE.
Board of Directors	: means Board of Directors of the CSE.
CBSL	: means the Central Bank of Sri Lanka.
CSE Clear	: means CSE Clear (Private) Limited
CSE Group	: means the Colombo Stock Exchange and its subsidiaries.
CDS	: means the Central Depository Systems (Pvt.) Limited, which is licensed as a Central Depository in terms of the SEC Act.
Cleared Funds	: means funds that are realized and available for drawing in the respective settlement bank.
Clearing Member	: means a Clearing Member as defined in the CSE Clear Rules
Client	: means a Client as defined in the SEC Act.
Controller	: means a Controller as defined in the SEC Act.
CSE	: means the Colombo Stock Exchange.
Gateway and Application Program Interface (API) Specifications	: shall mean the set of documented technical requirements issued by the CSE in relation to the Order Management and Back Office systems.
In writing	: means letters, words, or numbers or their equivalent, set down by handwriting, typewriting, printing, photostating, photographing, magnetic impulse, mechanical or electronic recording or other form of data compilation.

Listed Entity	: means a Listed Public Company as defined in the SEC Act and which is listed on the CSE.
Market Contract	: means a Market Contract as defined in the SEC Act.
Market Day	: means any day on which the CSE is open for trading.
Margin Provider	: means a Margin Provider as defined in the SEC Act.
Margin Trading	: means a Margin Trading facility as defined in SEC Rules applicable for Margin Providers.
Order Management System	: means a computer application used for submitting trading orders, which conforms to the Gateway and Application Program Interface (API) Specifications and any other specifications determined by the CSE and communicated to the Trading Participants from time to time.
Pending Buy Trades	: means any Market Contract for purchase of securities which has been executed and is pending settlement.
Pending Sell Trades	: means any Market Contract for sale of securities which has been executed and is pending settlement.
Rules	: mean these Trading Participant Rules of the CSE and any amendments made thereto from time to time.
SEC	: means the Securities and Exchange Commission of Sri Lanka established under the SEC Act.
Settlement Date	: means the date on which the settlement of a Market Contract shall take place in accordance with the Clearing House Rules of the CDS.
Securities	: mean Securities as defined in the SEC Act.
SEC Act	: means the Securities and Exchange Commission of Sri Lanka Act No, 19 of 2021 as may be amended from time to time.
Stockbroker	: means a Stockbroker as defined in the SEC Act and admitted as a Trading Participant of the CSE.
Stock dealer	: means a Stock dealer as defined in the SEC Act and admitted as a Trading Participant of the CSE.
Third Party Application Platforms	: Application platform/s operated by third-party service providers that are connected to the Order Management and Back Office Systems for

onboarding of clients, trading and settlement of trades on the CSE.

Trade	: means a transaction for the purchase or sale of Securities executed on the CSE (which is to be cleared or settled using the Clearing Facility of the Clearing House), being a Market Contract for purposes of the SEC Act.
Trade Day	: means in respect of a particular Trade, the Market Day on which the Trade is executed.
Trading Participant	: means a Trading Participant as defined in the SEC Act and admitted as a Trading Participant by the CSE in terms of these Trading Participant Rules.

INTERPRETATION

Unless expressly provided to the contrary, the interpretation of these Rules shall be in conformity with the definitions set out above.

Headings are provided for ease of reference only and shall not affect the interpretation or construction of the provisions of the Rules.

The CSE shall be the authority in the interpretation of these Rules or any other matter connected thereto and such interpretation shall be binding on all parties.

These Rules are intended to ensure the operation of a fair and orderly market in Securities; to provide for the admission of Trading Participants that are of good character and high business integrity; to provide for the conduct of inquiries or investigations into the business conduct of its Trading Participants; the proper regulation and supervision of the business conduct of the Trading Participants when dealing with Clients; the termination, suspension or disciplining (including the imposition of fines) of a Trading Participant, or any person acting on behalf of such a Trading Participant, for conduct that is inconsistent with just and equitable principles in the transaction of business, or for failure to comply with these Rules; for the prohibition of market misconduct and the manner in which investigations are conducted; the appointment of a disciplinary committee to hear and determine disputes between Trading Participants and their Clients, between Trading Participants, or between Trading Participants and the CSE or CDS; and generally for the carrying on of the business of the CSE, with due regard to the need to protect investors and the public interest.

The Rules stated herein may be amended from time to time by the CSE subject to the approval of the SEC in terms of the SEC Act.

Any directive issued by the SEC in relation to matters set out in these Rules shall prevail over these Rules.

These Rules shall prevail over any circulars, operational guidelines and procedures issued by the CSE in the event of a conflict between such provisions.